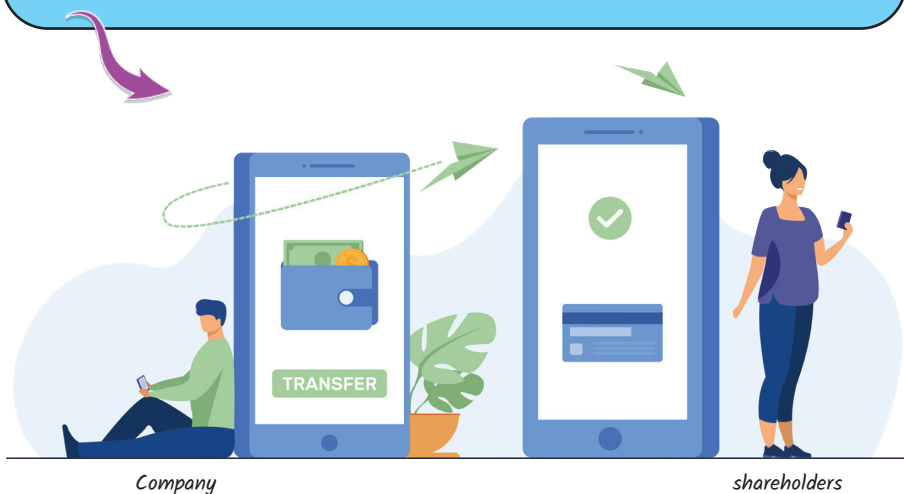


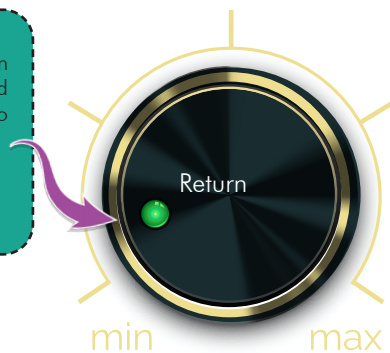
If, however, the company takes on more risks by investing in corporate debt or other forms of equity, the company can have variable return. However, generally the rate of return on fixed deposits is considered as base case i.e. minimum return that should be earned.

Earning less than the fixed deposit rate means the company is underutilizing its financial assets. It would be better to repay the debt and distribute the rest of the money to the shareholders as dividends, or buyback unless the company has a specific near term operating agenda.



The questions that need to be asked are about the return a company generates on its total financial assets and whether or not it's generating a minimum return equal to fixed deposit rates.

We ask these questions, particularly for **other income**.



These concepts and questions will help us understand the revenue side of the business well. Next, we will understand the cost of goods sold and understand them in greater detail.